

Declaration of Covenants, Conditions, Restrictions and Reservation of Easements

Amended and Restated

The Villas at Worthington Homeowners Association, Inc.

North Royalton, Cuyahoga County, Ohio

Recorded May 8, 2008 — Cuyahoga County Recorder, Instrument No. 200805080525

(Amended and restated; original Declaration recorded as Instrument No. 200705290758)

This is a reference copy of the recorded Declaration, reformatted for readability. The substantive text — every covenant, section number, dollar figure, percentage, and deadline — is preserved as recorded; only obvious scanning/formatting artifacts have been corrected. This copy is not itself a recorded instrument. For any legal or official purpose, rely on the recorded version on file with the Cuyahoga County Fiscal Office / Recorder.

Villas at Worthington Homeowners Association, Inc.

Recorded with the Cuyahoga County Recorder on May 8, 2008 — Instrument No. 200805080525

Prior Instrument Reference: Original Declaration recorded as Instrument No. 200705290758

RECITALS

Whereas, Declarant, York/Royalton, LLC, an Ohio limited liability company, is or was the owner of certain real estate in North Royalton, Cuyahoga County, Ohio, described in Exhibit "A", attached hereto and incorporated herein (hereinafter referred to as "Property"); and

Whereas, Declarant caused the Declaration of Covenants, Conditions, Restrictions and Reservation of Easements for Villas At Worthington Homeowners Association, Inc. to be recorded with the Cuyahoga County Ohio Recorder as Instrument No. 200705290758; (the "Declaration") and

Whereas, pursuant to Article XIII, Section 13.5 and Article XIV, Declarant as owner of more than seventy-five percent of the Lots, has the right to amend the Declaration; now therefore

Declarant hereby amended and restates the Declaration and declares that the Property shall be held, sold and conveyed subject to the covenants, conditions, restrictions and reservation of easements herein, which are for the purpose of protecting the value and desirability of and which shall run with the Property submitted hereunder or which may subsequently be added, and shall be binding on all parties having any right, title or interest in the Property, its successors and assigns, and shall inure to the benefit of each owner thereof.

Article I — Definitions

1.1. Additional Land

"Additional Land" means the property described in Exhibit "B" which may be made subject to this Declaration pursuant to Article XII.

1.2. Allocated Interests

"Allocated Interests" means the Common Expense Liability and votes in the Association as set forth in Article III.

1.3. Assessments

"Assessments" means those charges upon the Lots established by Article VII of this Declaration.

1.4. Association

"Association" means Villas at Worthington Homeowners Association, Inc., an Ohio nonprofit corporation, its successors and assigns. Except as the context otherwise requires "Association" shall mean the Board of Directors acting on behalf of the Association.

1.5. Board

"Board" shall mean the Board of Directors of the Association.

1.6. Builder

"Builder" means any person or entity (including the Declarant) who acquires a Lot for the purpose of improving that Lot and erecting a Dwelling Unit thereon for resale to an Owner.

1.7. Common Elements

"Common Elements" shall mean any real estate owned or leased by the Association other than a Lot, including easements in favor of the Association.

1.8. Common Expense Liability

"Common Expense Liability" means the liability for Common Expenses allocated to each Lot pursuant to Article III, of this Declaration.

1.9. Common Expenses

"Common Expenses" means expenditures made by, or financial liabilities of, the Association, together with any allocations to reserves.

1.10. Declarant

"Declarant" means York/Royalton, LLC, its successors and assigns.

1.11. Declaration

"Declaration" means this Amended and Restated Declaration of Covenants, Conditions, Restrictions and Reservation of Easements for Villas at Worthington Homeowners Association, Inc., including any amendments hereto.

1.12. Dwelling Unit

"Dwelling Unit" means a building situated on the Property designed and intended for use and occupancy as a single family residence.

1.13. Lot

"Lot" means the physical portion of the Property designated for separate ownership or occupancy, the boundaries of which are described pursuant to Article II, Section 2.1.

1.14. Member

"Member" means any person or entity entitled to membership in the Association as provided herein.

1.15. Occupant

"Occupant" means any person in possession of a Lot or Dwelling Unit whether or not such possession is lawful and shall include but not be limited to, an Owner's family members, guests, invitees, tenants and lessees.

1.16. Owner

"Owner" means the Declarant or other person or entity who owns a Lot, but does not include a person or entity having an interest in a Lot solely as security for an obligation.

1.17. Property

"Property" means the real estate described in Exhibit "A" attached hereto and any other property which may be made subject to the terms of this Declaration, together with any improvements made thereon.

1.18. Record Plan

"Record Plat" means the record plat for Villas at Worthington Subdivision, Section 1, Volume 352, page 00-02 through -06 Cuyahoga County Recorder's Plat Records and any subsequent plats or replats made subject to this Supplemental Declaration.

1.19. Successor Declarant

"Successor Declarant" shall mean any person or entity who succeeds to the Development Rights pursuant to Article XIV of this Declaration.

1.20. Surface Water Management System

"Surface Water Management System" shall mean the system designed for the Property by the Declarant for storm water, soil erosion and sediment control. Such system shall include all existing watercourses, ditches, retention basins and swales located in the Property.

Article II — Lots

2.1. Description of Lot Boundaries

The boundaries of the Lots shall be those as set forth on the Record Plat.

Article III — Allocation of Allocated Interests

3.1. Common Expense Liability

The allocation of Allocated Interests for Common Expense Liability shall be determined in accordance with the allocation of the various assessments as set forth in Article VII, Section 7.8.

3.2. Votes in the Association

The allocation of Allocated Interests for voting purposes shall be one vote per Lot.

Article IV — Common Elements and Easements

4.1. Description

The Common Elements shall be all portions of the Property except the Lots. The Common Elements shall also be any portion of the Property owned by the Association in fee or by easement or leased to the Association.

4.2. Easements

The Lots and Common Elements shall be subject to certain easements. These easements shall be appurtenant to and pass with the title to the Lots.

4.2.1. Enjoyment. The Common Elements and Lots shall be subject to an easement of enjoyment in favor of the Lots and Owners. Such easement shall be limited to the purposes for which the easements are created. Nothing herein shall be construed to provide any right of access to the Lots by any persons who are not Owners thereof.

4.2.2. Access. The Common Elements shall be subject to permanent nonexclusive easement for ingress and egress in favor of the Lots. Such easements shall be limited to the purposes for which the easements were created. A non-exclusive easement is granted to the Owners of all Lots, Occupants, their guests and invitees, and to all police, fire and other emergency personnel, and to all similar persons, and to the local governmental authorities, but not to the public in general, to enter upon the Common Elements in the performance of their duties.

4.2.3. Drainage. The Lots shall be subject to easements in favor of the Lots benefited for Surface Water Management as further defined in Article V. No Owner shall do anything within a Lot or Dwelling Unit which shall unreasonably increase the flow of surface water.

4.2.4. Utilities. The Common Elements shall be subject to an easement in favor of the Lots for the installation, operation of all utilities.

4.2.5. City of North Royalton. A non-exclusive easement is granted to the City of North Royalton, and to all police, fire and other emergency personnel, ambulance operators, delivery, garbage and trash removal personnel, and to all similar persons, and to the local governmental authorities, but not to the public in general, to enter upon the Common Elements and the Surface Water Management System in the performance of their duties.

4.2.6. Preservation Easement. The Lots and the Common Elements shall be subject to a Preservation Easement as shown on the Record Plat at Plat Book 352, page 00-02 through -06, of the Cuyahoga County Recorder's Plat Records. This easement is to preserve and maintain the natural environment and habitat of the land within the easement area. Any activity on or use of the property within the easement that is inconsistent with the purposes of this Preservation Easement or detrimental to the conservation values expressed herein is expressly prohibited. By way of example, and not of limitation, the following activities and uses are explicitly prohibited.

4.2.6.1. Division. Any division or subdivision of the property within the easement is prohibited.

4.2.6.2. Commercial Activities. Commercial development or industrial activity is prohibited.

4.2.6.3. Construction. The placement or construction of any man-made modifications such as buildings, structures, mobile homes, camping accommodations, fences, signs, billboards, roads and parking lots is prohibited.

4.2.6.4. Cutting-Vegetation. Any cutting of trees, ground cover or vegetation, or destroying by means of herbicides or pesticides is prohibited. Residential lawns shall be prohibited.

4.2.6.5. Land Surface Alteration. The removal of soil, sand, gravel, rock, minerals or other materials from the easement property, or doing any act that would alter the topography of the property shall be prohibited. The addition of any material as fill shall be prohibited.

4.2.6.6. Dumping. Waste, garbage and unsightly or offensive materials are not permitted and may not be accumulated on the property.

4.2.6.7. Water Courses. Natural water courses and streams and adjacent riparian buffers may not be dredged, straightened, filled, channelized, impeded, diverted or otherwise altered.

4.2.6.8. Wetlands. The wetlands area within the easement is protected in perpetuity and will be kept in its natural condition. The placement of dredged or fill material, including soil, trash, and the disposal of trees, brush and other debris in the wetlands area is prohibited. There shall be no removal, destruction, or cutting of trees, shrubs or other vegetation in this area, or the use of fertilizers or spraying with biocides. The flooding, filling of, or drainage of the delineated wetlands without the prior written permission of the U.S. Army Corps of Engineers and the Ohio Environmental Protection Agency is prohibited.

4.2.6.9. Other Activities. Each and every other activity or construction project which might endanger the natural, scenic, and passive recreational use of the easement property shall be prohibited.

4.3. Owner's Delegation Rights

Any Owner may delegate his or her easement rights and rights of enjoyment to the Common Elements to any Occupants, and any guests, invitees, tenants or lessees thereof. Any Owner who has leased his or her Lot shall be deemed to have delegated such rights. Any such delegation, however, shall in accordance with and subject to reasonable rules, regulations and limitation as may be adopted by the Association in accordance with its Code of Regulations.

4.4. Limitation on Common Elements and Easements

All Common Elements, easements and rights granted herein are subject to:

4.4.1. Restrictions set forth in this Declaration.

4.4.2. Any rules and regulations adopted by the Association and the right to enforce such rules and regulations.

4.4.3. The right of the Association to levy assessments for the Common Expenses and other assessments as set forth herein.

4.4.4. The right of the Declarant and the Association to amend the Record Plat and to grant further rights and easements within, upon, over, under, and across the Common Elements for the benefit of the Owners, the Association or Declarant. The Association, however, shall have no right to amend the Record Plat with respect to the Lots.

4.4.5. The Common Elements cannot be mortgaged or conveyed under any circumstances.

4.4.6. All rights granted to the Association in this Declaration.

Article V — Surface Water Management

5.1. Surface Water Management System

The Surface Water Management System shall consist of the "Storm Easements" and "Stormwater Management Easement" as shown on the Record Plan. The Association shall maintain and administer the Surface Water Management System in accordance with the guidelines as may be promulgated from time to time by the State of Ohio, Cuyahoga County and/or the City of North Royalton. The Association shall have primary responsibility for the maintenance of the retention basin, including any pipes, concrete gutters or mechanical devices.

5.2. Surface Water Management System Easements

Each Lot shall be subject to and shall be benefited by an easement for storm sewers, drainage and surface water management as more particularly shown on the Record Plat. Such easement shall be non-exclusive as to the Owners and shall run to the Association, which has control and responsibility for drainage and surface water management. Such easement, however, shall not run to the public at large.

5.3. Access to Lots

For the purpose solely of performing the maintenance required or authorized herein, the Association, through its duly authorized agents or employees, or subcontractors, shall have the right, after reasonable notice to the Owner, to enter upon the Lot at reasonable hours on any day.

5.4. Individual Lot Maintenance

The Owner shall maintain that portion of the Surface Water Management System which serves only the individual Lots. The Owner shall have primary responsibility for grass-cutting and vegetation control within the easements located on each Lot. Such responsibility shall include keeping these easements clean and unobstructed. Maintenance of the Surface Water Management System shall in accordance with the guidelines and standards set forth by the City of North Royalton and Cuyahoga County. If any portion of the Surface Water Management System which serves only one Lot is damaged, the Owner shall promptly cause it to be repaired.

5.5. Association Responsibility

The Association shall inspect all portions of the Surface Water Management System twice yearly on May 1 and November and periodically throughout the year to ensure that such facilities are operational. The Association shall submit a written report of such inspections to the City of North Royalton Service Director.

5.6. Restriction on use

No Owner shall use or permit any other persons to use the Surface Water Management System in any manner which would constitute a nuisance, hazard or unsanitary condition or be in violation of any local, state, or federal law ordinance, rule, regulation or statute. Those Lots crossed by an easement for surface water management are restricted against the planting within such easement of trees, shrubbery or plantings with woody growth characteristics, and against the construction therein of buildings, accessory buildings, fences, walls or other obstructions to the free flow of storm water. Such Lots are also restricted against changing of the final grade from that described by the approved grading plan.

Article VI — Owners Association

6.1. Formation

The Declarant has caused or will cause to be chartered in accordance with Chapter 1702 of the Ohio Revised Code, a nonprofit corporation named Villas at Worthington Lot Association, Inc. The purposes for the Association are to provide for the administrative governance, maintenance and upkeep of the Lot and to promote the health, safety, and welfare of the Owners and Occupants of the Lot.

6.2. Membership

The membership of the Association shall at all times consist exclusively of Owners of the Lots. All such Owners shall be Members. Membership shall be appurtenant to and may not be separated from such ownership.

6.3. Powers of the Association

Subject to Special Declarant Rights hereinafter set forth, the Association may:

- 6.3.1. adopt and amend a Code of Regulations for the government of the Association, the conduct of its affairs and the management of the Property;
- 6.3.2. adopt rules and regulations for the use and occupation of the Common Elements and to enforce violations of the rules and regulation and the provisions and restrictions of the Declaration as against the Owners and Occupants;
- 6.3.3. adopt and amend architectural standards and design guidelines for the Property;
- 6.3.4. adopt and amend budgets for revenues, expenditures and reserves and levy and collect Assessments from Owners;
- 6.3.5. hire and discharge managing agents and other employees, agents and independent contractors;
- 6.3.6. institute, defend or intervene in litigation or administrative proceedings in its own name on behalf of itself or two or more Owners on matters affecting the community;
- 6.3.7. make contracts and incur liabilities;
- 6.3.8. regulate the use, maintenance, repair, replacement and modification of the Common Elements for which the Association has maintenance responsibility and other rights as set forth herein;
- 6.3.9. cause additional improvements to be made as part of the Common Elements except that this power shall be limited to the purposes of repair and replacement of existing structures or improvements;
- 6.3.10. acquire, hold, encumber and convey in its own name any right, title or interest to real estate or personal property;
- 6.3.11. grant easements, liens, licenses and concessions through or over the Common Elements;
- 6.3.12. impose and receive any payments, fees or charges for the use, rental or operation of the Common Elements and for services provided to Owners;
- 6.3.13. impose charges for late payments of Assessments and after notice and an opportunity to be heard, levy reasonable fines for violations of the Declarations, Code of Regulations, Rules and Regulations of the Association;
- 6.3.14. impose reasonable charges for the preparation and recordation of amendments to the Declaration or for statements of unpaid Assessments;
- 6.3.15. provide for indemnification of its officers and board of Directors and maintain directors' and officers' liability insurance;
- 6.3.16. assign its right to future income, including the right to receive Common Expense Assessments, except that this power shall be limited to the purposes of repair and replacement of existing structures or improvements;
- 6.3.17. exercise any other powers conferred by the Declaration, Code of Regulations or Articles of Incorporation;
- 6.3.18. exercise all other powers that may be exercised in this state by nonprofit corporations;
- 6.3.19. exercise any other powers necessary and proper for the governance and operation of the Association.

6.4. Voting Rights

Subject to Special Declarant Rights as set forth in Article XIII, Members shall be entitled to vote on matters properly before them in accordance with this Article, the Code of Regulations and the laws of the State of Ohio.

6.5. Number of Votes

Each Lot shall have one vote. If only one of several Owners for a Lot is present at a meeting of the Association, that Owner is entitled to cast the vote allocated to that Lot. If more than one of the Owners is present, the vote allocated to that Lot may be cast only in accordance with the agreement of a majority in interest of the Owners. There is majority agreement if any one of the Owners casts the vote allocated to that Lot without protest being made promptly to the person presiding over the meeting by any of the other Owners of the Lot. The Association may adopt rules regarding deadlocks. No votes allocated to any Lots owned by the Association may be cast.

6.6. Proxies

A vote allocated to a Lot may be cast pursuant to a proxy duly executed by an Owner. If An Owner may revoke a proxy given pursuant to this section only by actual notice of revocation to the person presiding over a meeting of the Association. A proxy is void if it is not dated or purports to be revocable without notice. Except as hereinafter provided, a proxy shall terminate one year after its date, unless it specifies a shorter time. If a first mortgagee has been designated a proxy under the terms of a first mortgage covering the Lot, its presentation to the Board of a copy of the mortgage shall be notice of the proxy designation, and if the mortgage so states, of the irrevocability of that designation. Written notice to the Board or notice in a meeting of a revocation of a proxy designation shall not affect any vote or act previously taken. Each proxy shall automatically cease upon conveyance of the Lot.

Unless expressly reserved and the Association is notified of such reservation, a land contract vendee as defined in Chapter 5313 of the Revised Code, shall be deemed the proxy of a land contract vendor for purposes of this section.

6.7. Annual Meeting

A meeting of the Members of the Association must be held at least once each year.

6.8. Management Agent

The Board may employ for the Association a professional management agent or agents at a compensation established by the Board to perform such duties and services as the Board shall authorize. The Board may delegate to the managing agent or manager, subject to the Board's supervision, certain powers granted to the Board by this Declaration. The Declarant, or an affiliate of the Declarant, may be employed as a managing agent or manager.

No management contract may have a term in excess of three (3) years and must permit termination by either party without cause and without termination fee on ninety (90) days or less written notice.

In the event that the Owners fail to elect a Board and / or officers of the Association or the same shall resign without replacements, the Association shall employ a managing agent with such powers as may be necessary to carry out the functions and operations of the Association.

Article VII — Assessments

7.1. Establishment of Assessments

There are hereby established for the benefit of the Association, its successors and assigns, as a charge on each Lot, certain Assessments for Common Expenses and other expenses. Each Owner, by acceptance of a deed, covenants and agrees to pay such Assessments.

7.2. Purpose of the Assessments

The Assessments are established for the benefit and use of the Association and shall be used in covering the costs of its Common Expenses and for other such purposes as hereinafter set forth.

7.3. Annual General Assessment

There is hereby established an Annual General Assessment for the purpose of the Common Expenses of the Association. The Common Expenses shall be, but not limited to: (1) operation, maintenance, repair and

replacement as required by this Declaration; (2) the cost of any insurance required by this Declaration; (3) reasonable reserves for contingencies and replacement; (4) administrative, accounting, legal and management fees; and (5) all other costs and liabilities incurred by the Association in the exercise of its powers and duties pursuant to this Declaration.

7.4. Individual Assessment

Subject to the notice and hearing provisions of Article VII, Section 7.5 of this Declaration, the Association shall have the right to assess an individual Lot for any of the following:

7.4.1. any costs incurred by the Association in the performance of any maintenance in accordance with Article VIII, Section 8.3.

7.4.2. any charges or fines imposed or levied in accordance with Article IX, Section 9.3.1.1.

7.4.3. any costs incurred for maintenance or repair caused through the willful or negligent act of an Owner or Occupant or their family, tenants, guests or invitees, including attorney fees, court costs and other expenses incurred.

7.4.4. any costs associated with the enforcement of this Declaration or the Rules and Regulations of the Association, including, but not limited to attorneys fees, witness fees and costs, and court costs.

7.5. Procedures for Imposing an Individual Assessment for Damages or Enforcement

7.5.1. Notice. Prior to imposing a Individual Assessment for damages pursuant to Section 7.4.3, or for enforcement pursuant to Section 7.4.4, the Board shall give the Owner written notice containing:

7.5.1.1. a description of the property damaged or the violation;

7.5.1.2. The amount of the proposed Individual Assessment;

7.5.1.3. A statement that the owner has a right to a hearing before the Board to contest the proposed Individual Assessment;

7.5.1.4. A statement setting forth the procedures to request a hearing pursuant to Section 7.5.2; and

7.5.1.5. A reasonable date by which the Owner must cure the violation to avoid the proposed Individual Assessment.

7.5.2. Hearing. An Owner may request a hearing by delivering written notice of such request no later than the tenth day after receiving the notice provided in Section 7.5.1 of this Article. If the Owner fails to make a timely request for a hearing, the right to such hearing shall be considered waived, and the Board may immediately impose the Individual Assessment referenced in the notice provided above, or may allow a reasonable time to cure the violation before imposing a Individual Assessment. If an Owner requests a hearing, the Board shall not levy the Individual Assessment before holding a hearing, and will, at least seven days prior to the hearing, provide the Owner with a written notice of the date, time and location of the hearing. Within 30 days following a hearing at which the Board imposes an Individual Assessment, the Board shall deliver a written notice of the Individual Assessment to the Unit Owner.

7.5.3. Manner of Notice. Any notice required under this Section to be served:

7.5.3.1. upon the Owner shall be delivered personally to the Owner or Occupants at the Lot or Dwelling Unit, or mailed (by certified mail, return receipt requested) to the Owner at the address of the Lot, provided that if the Owner has provided the Association with an alternate address, all such notices shall be mailed (by certified mail, return receipt requested) to the Owner at such alternative address.

7.5.3.2. upon the Association shall be delivered personally to any officer of the Association or to any on-site representative of any professional management company hired by the Association; or mailed (by certified mail, return receipt requested) to any officer of the Association or to the management company hired by the Association.

7.6. Working Capital Fund; Initial Assessment

At the time of closing of a Lot from a Builder, the purchaser of such Lot shall be assessed an initial capital contribution to the working capital fund of the Association. This Assessment shall be used by the Association for its operating expenses. Such Assessment is not an advance payment of the Annual General Assessment, and it will not be held in any sort of trust or reserve account. Builders shall not be subject to such Working Capital Fund Assessment. The initial Working Capital Fund Assessment shall be \$350.00.

7.7. Computation and Payment of Annual General Assessment

The Assessment shall be computed and levied in accordance with the budget adopted by the Board pursuant to the Code of Regulations. The initial Assessment for each Lot shall be levied and shall commence on the first day of the month following the earlier of (i) the conveyance of the Lot to an Owner other than a Builder; or (ii) the occupation of the Dwelling Unit. The initial Assessment shall be prorated on an annual basis to the end of the Association's fiscal year, and shall be collected at closing of the conveyance of the Lot from the Builder to the Owner. So long as there has been no default in payment of the Assessment, it shall be payable in annual installments due as determined by the Board. The Board shall have the power from time to time to adopt such billing, collection and payment procedures, charges and other payment time schedules as it deems appropriate. Once commenced this Assessment shall be effective as to each Lot on the first day of the Association's fiscal year.

7.8. Annual Assessment

Beginning with the recording of this Declaration and until December 31, 2008, the maximum Annual General Assessment shall be \$350.00 Dollars. Beginning with Assessments levied as of January 1, 2009, and annually thereafter, the Board, without a vote of the Owners, may increase or decrease the Annual General Assessment. If the board increases the Annual General Assessment, then, within Thirty (30) days of notice of such increase, Twenty-five (25%) percent of the Members in good standing, may petition the Board for a special meeting of the Association to reconsider such increase. At such meeting Sixty-Six and Two thirds (66 2/3%) percent of the Members in good standing may vote to reduce the increase by any amount therein proposed, but not lower than the previous years maximum amount.

7.9. Allocation of Assessments

The Common Expense Liability of each Lot shall be its portion of the Common Expense. The Common Expense Liability and the Annual General Assessment shall be allocated equally to each Lot.

7.10. Lien for Assessments

The Association shall have a lien for any Assessment levied against a Lot, for fines imposed against an Owner or Occupant, and for interest, costs and reasonable attorney fees.

7.10.1. Creation. The lien for Assessments is created by this Declaration and shall be a charge and a continuing lien on each Lot which shall run with the land. All persons or entities acquiring an interest in a Lot after the filing of this Declaration take such interest subject to the lien.

7.10.2. Effective Dates. The lien for the Common Expense Liability for each Lot as set forth in the Annual General Assessment shall be effective on the first day of the fiscal year of the Association. The lien for other Assessments shall be effective on the first day of the month following the notice of it levy on the Owners affected.

7.10.3. Perfection. Recording of this Declaration constitutes notice and perfection of the lien.

7.10.4. Notice of Lien. The Association may file a notice of lien with the Recorder of Cuyahoga County. Such notice shall not be required for the Association to enforce its lien.

7.10.5. Priority of the Lien. The lien created by this Section shall be prior to all liens and encumbrances recorded subsequent to this Declaration except the lien for real estate taxes and assessments and the lien of any bona fide first mortgage filed of record.

7.10.6. Subordination and Mortgagee Protection. Notwithstanding any of the provisions hereof to the contrary, the lien of any Assessment levied pursuant to this Declaration (and any late charges, interest, costs and attorney fees) shall be subordinate to, and shall in no way affect the rights of the holder of a first mortgage made in good faith for value received; provided, however, that such subordination shall apply only to Assessments, or installments thereof, which have become due and payable prior to the date of Sheriff's sale of such Lot pursuant to a foreclosure or the date of a deed in lieu of foreclosure. Such sale or transfer shall not relieve the mortgagee or the purchaser of a Lot at such sale from liability for any Assessments thereafter becoming due, nor from the lien of any such subsequent Assessment. Mortgagees are not required to collect Assessments on behalf of the Association. Failure to pay Assessments shall not constitute a default under any mortgage insured by FHA/VA. Any portion of any Assessment that is not collected as a result of this Section shall be deemed to be a Common Expense collectible from all Owners, including the person or entity acquiring the Lot pursuant to sheriff's sale or deed in lieu of foreclosure.

7.10.7. Extinguishment of the Lien. A lien for unpaid Assessments is extinguished unless proceedings to enforce it are instituted within five (5) years after the full amount of the Assessment becomes due. If an Owner of a Lot subject to a lien files a petition for relief under the United States Bankruptcy Code, then the period of time to enforce the Association's lien shall be tolled until thirty (30) days after the automatic stay under Section 362 of the Bankruptcy Code is lifted.

7.10.8. Estoppel Certificate. Upon request of any mortgagee or Owner and upon payment in full of all Assessments and other charges permitted by this Declaration that are due to the Association, the Association shall execute and deliver to such mortgagee or Owner an Estoppel Certificate. Such certificate shall be in recordable form and shall note the payment of the outstanding Assessments and charges and that the Association is estopped from the enforcement of its lien with respect to Assessment and charges becoming due and payable prior to the date of the Certificate. The Association may charge a reasonable fee for the preparation of such certificate.

7.11. Delinquency and Acceleration

Any installment of an Assessment provided for by this Declaration shall become delinquent if not paid on the due date as established by this Declaration or by the Board. With respect to each installment of an Assessment not paid within five (5) days of its due date, the Board may, at its election, require the Owner to pay a reasonable late charge, costs of collection, reasonable attorney fees and interest at the rate provided in Section 1343.03 of the Ohio Revised Code (and as amended from time to time). Interest shall be calculated from the date of delinquency to the date full payment is received by the Association. If any installment of an Assessment is not paid within thirty (30) days of its due date, the Board may, at its election, declare all of the unpaid balance of the Assessment without further notice or demand to the Owner. The Association may enforce the collection of the full Assessment and all charges thereon in any manner authorized by law or this Declaration. The filing of any petition for relief pursuant to the United States Bankruptcy Code by an Owner whose Assessment has been accelerated shall operate as a restoration of the Assessment to its prior status as if it has not been accelerated.

7.12. Remedies Cumulative

A suit to recover money judgment for unpaid Assessments and charges may be maintained without foreclosing or waiving the right to enforce the lien. A foreclosure may be maintained notwithstanding the pendency of any suit to recover a money judgment.

7.13. Personal Obligation

The Assessments, including fines, if any, payable by each Owner, together with any penalty, interest, costs and reasonable attorney fees shall be the personal obligation of the Owner of the Lot at the time incurred. The personal obligation shall not pass to any successors in title unless expressly assumed by them.

7.14. Statement of Unpaid Assessments

The Association shall upon written request of the Owner, contract purchaser, or first mortgagee, furnish a statement setting forth the amount of unpaid Assessments against the Lot. This statement must be furnished within ten (10) business days after receipt of the request and is binding on the Association, the Board and every Owner. The Association may charge a reasonable amount for this statement.

7.15. No Waiver of Liability for Common Expenses

No Owner may exempt himself or herself from liability for payment of the Common Expenses by waiver of the use or enjoyment of the Common Elements or by abandonment of the Lot against which the Assessments are made.

Article VIII — Upkeep of the Property

8.1. Lots

Each Owner shall maintain the Lot, its Dwelling Unit and any improvement erected thereon in a reasonable manner in accordance with the standard generally prevailing throughout the Property.

8.2. Common Elements

The Association shall maintain the Common Elements.

8.3. Association's Right to Maintain

In the event that an Owner shall fail to provide maintenance as required by this Declaration in a manner satisfactory to the Association, and such Owner has failed to comply for ten (10) days after being so notified of such failure and upon being provided an opportunity to be heard concerning such failure, then the Association shall have the right, through its agents and employees, to enter upon said lot and repair, maintain and restore the Lot. In the event that such failure poses a health, safety or security risk, then no notice or hearing need be given. The cost of such maintenance and repair shall be assessed against the subject Lot in accordance with Article VII, Section 7.4. Nothing in this Section shall be construed as giving the Association any right to repair, maintain or restore any Dwelling Unit.

8.4. Access to Lots

For the purpose solely of performing the maintenance required or authorized herein, the Association, through its duly authorized agents or employees, or subcontractors, shall have the right, after reasonable notice to the Owner, to enter upon any Lot at reasonable hours on any day.

Article IX — Restrictions

9.1. Use and Occupancy

The following restrictions are applicable to the use and occupancy of the Property.

9.1.1. Compliance with Laws. No improper, offensive or unlawful use shall be made of the Property or any part thereof, and all valid laws, zoning ordinances and regulations of all governmental agencies having jurisdiction thereof shall be observed. All laws, orders, rules, regulations or requirements of any governmental agency having jurisdiction thereof relating to any portion of the Property shall be complied with, by and at the sole expense of the Owner.

9.1.2. Harmful Discharges. There shall be no emissions of dust, sweepings, dirt, cinders, odors, gases or other substances into the atmosphere (other than normal residential chimney emissions), no production, storage or discharge of hazardous wastes on the Property or discharges of liquid, solid wastes or other harmful matter into the ground or any body of water, if such emission, production, storage or discharge may adversely effect the use or intended use of any portion of the Property or may adversely effect the health, safety or comfort of any person. No waste nor any substance or materials of any kind shall be discharged into any public sewer or the Surface Water Management System serving the Property or any part thereof in violation of any regulation of any public

body having jurisdiction over such public sewer, or Surface Water Management System.

9.1.3. Noise. No person shall cause any unreasonably loud noise (except for security devices) anywhere on the Property, nor shall any person permit or engage in any activity, practice or behavior for the purpose of causing annoyance, discomfort or disturbance to any person lawfully present on any portion of the Property.

9.1.4. Signs. No signs of any character shall be erected, posted or displayed upon the Property, except: (i) marketing signs installed by the Declarant while actively marketing the Lots for sale; (ii) street and identification signs installed by the Association or the Declarant; (iii) temporary signs and security signs as set forth in the Design Guidelines; (iv) reasonably sized political signs installed in accordance with the time frames and size limits set forth in the Design Guidelines, and (v) one temporary real estate sign not to exceed six square feet in area advertising that such Lot is for sale.

Note — Original numbering note: the recorded Declaration repeats "9.1.1" here for the "No Trade or Business" restriction (it appears between Section 9.1.4 Signs and Section 9.1.5 Trash). The original numbering is preserved below exactly as recorded.

9.1.1. No Trade or Business. No trade or business of any kind may be conducted in or from any Lot or Dwelling Unit except that an Owner or Occupant of a Lot or Dwelling Unit may conduct such business activity within the Lot or Dwelling Unit so long as: (a) the existence or operation of the business activity is not apparent or detectable by sight, sound or smell from the exterior of the Lot or Dwelling Unit; (b) the business activity conforms to all zoning requirements for the Property; (c) the business activity does not involve employees who do not reside in the Dwelling Unit and does involve not persons coming on to the Lot who do not reside in the Property except by appointment only; and (d) the business activity is consistent with the residential character of the Property.

The terms "business" and "trade" as used in this provision shall be construed to have their ordinary generally accepted meanings and shall include, without limitation, any occupation, work or activity undertaken on an ongoing basis which involves the provision of goods or services to persons other than the provider's family and for which the provider receives a fee, compensation or other form of consideration, regardless of whether (i) such activity is engaged in full-time or part-time; (ii) such activity is intended to or does generate a profit; or (iii) a license is required thereof. The term "trade" or "business" for purposes of this restriction shall not include the construction, operation and maintenance of any model home or homes and sales construction offices by any Builder during reasonable hours.

9.1.5. Trash. Except in connection with construction activities, no burning of any trash and no accumulation or storage of litter, refuse, bulk materials, building materials or trash of any other kind shall be permitted on any Lot. Trash containers (except during construction) shall not be permitted to remain in public view except on days of trash collection. No incinerator shall be kept or maintained upon any Lot.

9.1.6. Parking; Vehicle Repairs. Except in connection with construction activities, commercial trucks with logos or racks, trailers, campers, recreational vehicles, boats and other large vehicles may be parked on the Property only if in garages. No junk or derelict vehicle or other vehicle on which current registration plates are not displayed shall be kept upon any portion of the Property. Vehicle repairs and storage of vehicles are permitted on the Property only if in garages. Recreational vehicles and boats may be parked in the driveways for a period not to exceed seventy-two (72) hours for the purpose of cleaning, loading or unloading.

9.1.7. Animals. The maintenance, keeping, boarding or raising of animals, livestock, poultry or reptiles of any kind, regardless of number, is prohibited on any Lot or upon except that the keeping of guide animals and orderly domestic pets (e.g., dogs, cats or caged birds), is permitted. Such pets are not to be kept or maintained for commercial purposes or for breeding. No external compound cages, kennels or hutches shall be permitted.

9.1.8. Open Fires. Open burning is not permitted on the Property, except that outdoor fireplaces, grills, and chimneys may be used if equipped with fire screens to prevent the discharge of embers or ashes.

9.1.9. Outdoor Wood Boilers. Outdoor wood boilers for heating purposes are not permitted on the Property.

9.2. Architectural Restrictions

The following architectural restrictions shall be applicable to the Lots.

9.2.1. Plan Approval. No structure shall be placed, erected or installed upon any Lot, no construction (which term shall include within its definition staking, clearing, excavation, grading, and other site work), no exterior alteration or modification of existing improvements, and no plantings or removal of plants, trees, or shrubs shall take place until the requirements of this section have been fully met. Prior to any construction, the Owner or Builder shall first submit to the Declarant (which for the terms of this section shall include its designee) a complete set of building plans for the proposed construction. The Declarant shall approve, reject or modify such plans in a writing sent to the Owner or Builder in question not more than thirty (30) days after the plans are submitted to the Declarant. The thirty (30) day period shall commence upon execution of a written notice by the Declarant acknowledging receipt of plans and specifications and all information required therewith. The Declarant shall review the plans as to the quality of workmanship and design and harmony of external structures with existing structures and as to location in relation to surrounding structures, topography and finish grade elevation. The Declarant shall not unreasonably withhold approval of any plans that conform in every way with this Supplemental Declaration and with the general character of the development on neighboring Lots within the Property. If the Declarant fails to approve, reject, or modify the plans within the thirty (30) day period, the Declarant's approval shall be deemed to have been given, and no further permission shall be needed before the improvements described in such plans may be constructed or installed. However, in no event shall any improvements be constructed or installed which violate any terms of this Declaration.

9.2.1.1. Declarant's Plan Approval Period. Declarant's right of plan approval shall exist for as long as Declarant owns any Lot in the Property. Declarant's right of plan approval shall include any alterations to existing Lots or Dwelling Units and / or items requiring prior approval by this Declaration. In any items or matters that are discretionary, the Declarant's decision shall be conclusive upon all parties.

9.2.1.2. Design Guidelines. The Declarant shall prepare and, on behalf of itself and the Association, shall promulgate design and development guidelines governing construction within the Properties, which shall include application and review procedures to be followed in submitting an application for approval hereunder ("Design Guidelines"). The Design Guidelines shall be those of the Association, and the Declarant and/or the Association shall have sole and full authority to modify and to amend them from time to time without the consent of any Owner. The Declarant and/or the Association shall make the Design Guidelines available to Builders and Owners who seek to engage in construction upon all or any portion of the Property. There is no requirement that these Guidelines be recorded or rerecorded if amended or modified. Each Builder and Owner is cautioned to request the most current version of the Guidelines prior to undertaking any improvement. The most current version shall be on file with the Declarant and/or the Association.

9.2.1.3. Association's Right of Plan Approval. After Declarant's right of plan approval has expired, the Association shall be responsible for plan approval. The Declarant may assign its right of plan approval, or any portion thereof, to the Association.

9.2.1.4. No Liability. Each Owner and builder are responsible to insure that all construction or any modifications, are in compliance with the restrictions and approved plans. If the Developer or the Directors have acted in good faith on the basis of such information possessed by them, neither the Developer, the Board nor any Director shall be liable to the Association or to any Owner for any damage, loss or prejudice suffered or claimed due to: (a) the approval or disapproval of any plans, drawings and specifications, whether or not defective; or (b) the construction or performance of any work whether or not pursuant to approved plans, drawings, and specifications.

9.2.2. Dwelling Type. No building shall be erected, altered, placed or be permitted to remain on any Lot other than one detached single family dwelling and a garage for at least two cars.

9.2.3. Dwelling Floor Areas. The living area of the Dwelling Unit exclusive of porches, decks, attics, basements, areas not heated year round and garages shall be no less than the areas set forth in the Design Guidelines.

9.2.4. Roof Requirements. The roof and gables of each Dwelling unit shall be in accordance with the Design Guidelines.

9.2.5. Set Back, Minimum Elevation and Yard Requirements. All Dwelling Units shall be located in accordance with the building set back lines, minimum basement elevation and yard requirements as shown on the Record Plan and as set forth in the North Royalton Zoning Ordinance. The Owner or Builder shall be responsible for compliance with these standards. Declarant shall not be responsible for any failure to comply with these standards.

9.2.6. Front Yards and Driveways. Front yards shall be landscaped with the requirements set forth in the Design Guidelines. All driveways shall be paved with concrete, brick or paving stones. Landscaping, driveways and sidewalks must be completed within three (3) months of occupation of the Dwelling Unit, weather permitting.

9.2.7. Construction Materials. No Dwelling Units shall be constructed of concrete block, cinder block or other similar materials unless the exterior of the Dwelling Unit is covered with brick and / or siding. No underground Dwelling Units shall be permitted.

9.2.8. Exterior Siding. Any wooden sheeting materials must have prior approval.

9.2.9. Front Storage. No front porch shall be used for the storage of any items except normal porch furniture. No front yard shall be used for storage of any kind of items. This restriction shall not apply to building materials and / or equipment stored on the Lot during construction of the Dwelling Unit.

9.2.10. Radio and Television Antennas. With the exception of eighteen inch home satellite dishes, no exterior antennas, aerials, satellite dishes, or other apparatus for the reception or transmission of television, radio, satellite or other signals of any kind shall be placed, allowed, or maintained upon any portion of the Properties, including any Dwelling Unit, without the prior written approval as provided in Section 9.2.1, and in accordance with the Design Guidelines established by the Declarant or the Association. Nothing herein shall be construed so as to be in conflict with current Federal Communications Commission's rules and regulations for antennas.

9.2.11. Air Conditioning and Heat Pump Equipment. Air-conditioning and heating equipment should be located and screened in such a manner so as to provide minimum visual impact from other Lots.

9.2.12. Awnings. No metal or plastic awnings for windows, doors or patios may be erected or used.

Note — Section 9.2.12 (Awnings) is the provision most directly implicated by the patio-cover enforcement analysis. Compare with the Design Guidelines "Awnings" provision in Part III, which permits canvas awnings subject to prior approval.

9.2.13. Exterior Carpeting. No exterior carpeting shall be permitted if it is visible from the street or any neighboring Lot.

9.2.14. Mailboxes. Mailboxes shall be installed by each Builder and shall be of uniform style and color. If a mailbox needs to be replaced, each Owner, at his or her expense, shall install a matching mailbox/paper box in accordance with specifications as to style and color as installed by the Builder.

9.2.15. Fences. All fences must have prior approval in accordance with Section 9.2.1 and must comply with the Design Guidelines. The Declarant reserves the right to prohibit fences on certain Lots. No chain link fences shall be permitted. Wire fencing material may be attached to the split rail fences to provide for additional enclosure. No fence shall be erected in the front yard with the exception of underground invisible pet fences. For purposes of this section, the front yard shall run from the street right of way to the rear line of the Dwelling Unit.

9.2.16. Other Structures. No structure of a temporary character, trailer, or shack shall be permitted on any Lot. Barns, storage sheds or other outbuildings must have prior approval in accordance with Section 9.2. Such outbuildings must comply with the Design Guidelines. Construction trailers and/or temporary storage sheds shall be permitted only during construction. Above ground and semi-exposed pools are not permitted. Any in-ground pool or spa must be screened with a privacy fence in accordance with Design Guidelines. Play equipment and basketball hoops must comply with Design Guidelines. No outdoor clothes drying apparatus shall be permitted.

9.2.17. Completion. Construction of a Dwelling Unit on any Lot shall be completed within one (1) year from the date construction is started.

9.2.18. Lot Maintenance. All Lots must be kept mowed and free of debris and clutter. During construction, each Owner and Builder shall be responsible for keeping the streets and adjacent Lots clean and free of debris. The Declarant shall have the right to assess and Owner or Builder for the cost of mowing or clean up in the event that the Owner or Builder fails to do so.

9.3. Remedies for Breach of Covenants and Restrictions

The violation of any covenant or restriction, contained in the Declaration or violation of any rule or regulation duly adopted by the Board shall give the Board the authority to enforce the covenants, restrictions, rules and regulations in accordance with this Section.

9.3.1. Actions. The Board may take any of the following actions.

9.3.1.1. levy a fine against the Owner or Occupant which shall also be an Individual Assessment under Section 7.4.

9.3.1.2. to enter upon a Lot or portion thereof upon which or, as to which, such violation or breach exists and to summarily abate and remove at the expense of the Owner, any structure, thing or condition that may exist thereon contrary to the intent and meaning of the provisions of this Declaration, and the Board, or its agents shall not be thereby deemed guilty in any manner of trespass or wrongful act.

9.3.1.3. to institute appropriate legal proceedings to enjoin, abate or remedy the continuance of any breach.

9.3.1.4. undertake such dispute resolution methods such as mediation and arbitration, except that this provision shall not be construed as any requirement to do so as a condition precedent to legal proceedings.

9.3.2. Notice and Opportunity to be Heard. Prior to any action, the Board shall give the Owner and/or Occupant reasonable notice of the violation and an opportunity to be heard in the same manner as set forth in Article VII. Such notice and opportunity shall not be required in emergency situations or for repeated or continuing violations.

9.3.3. Individual Actions. Each Owner is empowered to enforce the covenants by appropriate legal proceedings or alternative dispute resolution methods.

Article X — Insurance and Casualty Losses

10.1. Insurance

The Board or its duly authorized agent shall have the authority to and shall obtain such insurance as it may deem necessary to protect the Common Elements, the Owners, the Association and the Board.

10.2. Repair and Restoration

If the damage or destruction for which the insurance proceeds are paid is to be repaired or reconstructed and such proceeds are not sufficient to defray the cost thereof, the Board shall, without the necessity of a vote of the Members, levy a Special Assessment against all Owners. Additional assessments may be made in like manner at any time during or following the completion of any repair or reconstruction. If the funds available from insurance exceed the cost of repair, such excess shall be deposited to the benefit of the Association.

Article XI — Condemnation

11.1.

Whenever all or any part of the Common Elements shall be taken (or conveyed in lieu of and under threat of condemnation by the Board, acting on its behalf or on the written direction of all Owners of Lots subject to the taking, if any) by any authority having the power of condemnation or eminent domain, each Owner shall be entitled

to notice thereof and to participate in the proceedings incident thereto, unless otherwise prohibited by law. The award made for such taking shall be payable to the Association, as Director for all Owners, to be disbursed as follows:

11.2.

If the taking involves a portion of the Common Elements on which improvements have been constructed, then, unless within sixty (60) days after such taking the Declarant and at least seventy-five (75%) percent of the Members of the Association shall otherwise agree, the Association shall restore or replace such improvements so taken on the remaining land included in the Common Elements, to be extent lands are available therefore, in accordance with plans approved by the Board. If such improvements are to be repaired or restored, the above provisions in Article X hereof regarding the disbursement of funds in respect to casualty damage or destruction which is to be repaired shall apply. If the taking does not involve any improvements on the Common Elements, or if there is a decision made not to repair or restore, or if there are net funds remaining after any such restoration or replacement is completed, then such award or net funds shall be disbursed to the Association and used for such purposes as the Board shall determine.

Article XII — Development Rights

12.1. Submission of Additional Land

The Declarant reserves the rights to submit all or any portion of the Additional Land to the terms of this Declaration without consent of the Owners for a period of seven (7) years beginning with the date of recording of the Declaration. The submission shall be accomplished by the filing of an amendment or supplement to this Declaration identifying the Additional Land, the Lots and the Common Elements, including the Limited Common Elements.

12.2. Notice to the Board

The Declarant shall promptly notify the Board of the filing of any Supplemental Declaration.

12.3. Easements Reserved

The Declarant reserves for itself, its successors and assigns and any Builder, the following easements:

12.3.1. Easements for drainage and all utilities as shown on the Record Plan.

12.3.2. Easements for ingress, egress, drainage and all utilities over the Common Elements provided that such easements do not unreasonably interfere with any Owner's rights of enjoyment.

12.3.3. An easement over the Common Elements as may be reasonably necessary for the purpose of discharging its obligations or exercising any rights under the Declaration.

12.3.4. An easement for ingress, egress, drainage and all utilities over the Common Elements and in favor of the Additional Property and the right to convey that easements to others in the event that the Additional Property is not submitted to this Declaration.

12.4. Assignment of Development Rights

The Declarant, including any Successor Declarant, reserves the right to assign any or all of its Development Rights, including the Special Declarant Rights set forth in Article XIII, to any Successor Declarant for the purpose of further development and improvement of the Property. No assignment shall be effective unless in a writing executed by the assignor and assignee and filed with the Recorder of Cuyahoga County, Ohio. No Successor Declarant shall be responsible for any obligation of its assignor unless such obligations are expressly assumed in such writing.

12.5. Transfer of Development Rights by Foreclosure

Unless otherwise provided in any mortgage securing the Property held by Declarant, in the case of foreclosure of such mortgage, deed in lieu of foreclosure, judicial sale, tax sale, sale under the U.S. Bankruptcy Code or receivership proceedings, of any portion of the Property held by the Declarant subject to the Development Rights herein reserved (including the Special Declarant Rights), a person acquiring title to such property, but only upon his request, succeeds to all such Development Rights. The judgment or instrument conveying title must provide for the transfer of such rights. Upon foreclosure sale, deed in lieu of foreclosure, judicial sale, tax sale, sale under the U.S. Bankruptcy Code or receivership proceedings, the Declarant ceases to have any of the rights herein reserved. A successor to the Development Rights held by a transferee who acquired such rights pursuant to this Section, may declare by a recorded instrument the intention to hold such rights solely for transfer to another person. Thereafter, until transferring such Development Rights to any person acquiring title to the Property subject to the Development Rights, or until recording an instrument permitting exercise of such rights, that successor may not exercise any of those rights, and any attempted exercise is void. So long as a successor declarant may not exercise any Development Rights under this section, such declarant is not subject to any liability as a declarant.

Article XIII — Special Declarant Rights

13.1. Use for Sale Purposes

Declarant reserves for itself, its successors and assigns, and any Builder the right to maintain sales offices and models on the Lots.

13.2. Signs and Marketing

The Declarant reserves the right for itself and any Builder to post signs and displays in the Property to promote sales of Lots, and to conduct general sales activities, in a manner as will not unreasonably disturb the rights of Owners.

13.3. Control of the Association

13.3.1. Appointment of Directors and Officers. The Declarant reserve the right to appoint and remove the members of the Board and the Officers of the Association and to designate an Executive Committee of the Board during the Declarant Control Period which commence upon the recording of this Declaration and shall terminate no later than the earlier of:

13.3.1.1. sixty (60) days after the conveyance of seventy-five (75%) of the Lots (including Lots to be included on the Additional Land) to Owners other than Declarant or any Builder;

13.3.1.2. seven (7) years after recording of this Declaration.

13.3.2. Early Termination of Control. The Declarant may voluntarily surrender the right to appoint and remove Directors and officers before the termination of the period set forth above. In that event, the Declarant may require, for the duration of that period, that specified actions of the Association or the Board, be approved by Declarant before they become effective. Such voluntary termination shall be evidenced by a recorded instrument executed by the Declarant setting forth the termination of right to appoint and the actions which require Declarant's approval.

13.4. Declarant's Personal Property

The Declarant and any Builder reserve the right to retain all personal property and equipment used in sales, management, construction and maintenance of the premises that has not been represented as property of the Association. The Declarant and Builder reserve the right to remove, within One (1) year after the sale of the last Lot, from the Property any and all goods and improvements used in development, marketing and construction, whether or not they have become fixtures.

13.5. Right to Amend Documents

Notwithstanding anything above to the contrary, this Declaration may be amended at any time without the vote of Owners by a written instrument executed by the Declarant for the purpose of eliminating or correcting any

typographical or other inadvertent error herein; eliminating or resolving any ambiguity herein; making nominal changes; clarifying Declarant's original intent; making any change necessary or desirable to meet the requirements of any institutional lender, the Veteran's Administration, the Federal Housing Administration, the Federal National Mortgage Association, the Federal Home Loan Mortgage Corporation, or any other agency which may insure or purchase loans on a Lot. No such amendment, however, shall materially affect any Owner's interest in the Association or the Common Elements. Each Owner and his mortgagees, by acceptance of a deed to a Lot or a mortgage encumbering such Lot, shall be deemed to have consented to and approved of the provisions of this paragraph and the amendment of this Declaration by Declarant as provided in the immediately preceding sentence. All such Owners and their mortgagees, upon request of Declarant, shall execute and deliver from time to time all such instruments and perform all such acts as may be deemed by a Declarant to be necessary or proper to effectuate the provisions of this paragraph. The Declarant, however, may not amend the Declaration in any manner that impacts the interests or requirements of The City of North Royalton and without prior approval of the planning authorities having jurisdiction.

Article XIV — Duration, Amendment and Termination

14.1. Duration

This Declaration, and its provisions, shall be covenants running with the land and shall bind the property and shall (regardless of whether any such beneficiary owns an interest in any Lot) inure to the benefit of and be enforceable by Declarant, the Association, and each Owner, Occupant and their legal representatives, heirs, devisees, successors and assigns and shall continue in full force and effect for twenty (20) years from the date on which this Declaration is recorded. Thereafter this Declaration shall be automatically renewed for successive ten-year periods unless amended or terminated as provided in this Article.

14.2. Amendment

Except as provided in Section 13.5 and 14.3, prior to the end of the Declarant Control Period, any provision of this Declaration may be amended in whole or in part by a recorded instrument executed by Declarant, approved by the City of North Royalton and the Owners of at least 75% of all Lots.

14.2.1. Except as provided in Section 13.5 and 14.3, after the end of the Declarant Control Period, any provision of this Declaration may be amended in whole or in part by a recorded instrument approved by the City of North Royalton and the Owners of at least seventy-five (75%) percent of all Lots.

14.2.2. All Amendments shall be executed by the Declarant, and any Builder, if required, and shall be executed by the President and Secretary of the Association. Such Amendment shall certify that the proper notices were sent and that the requisite vote was obtained. Amendments need not be signed by the Owners and the City of North Royalton.

14.3. Amendments by Board

The Board may amend the Declaration and any Supplemental Declaration in any manner necessary for any of the following:

14.3.1. To meet the requirements of institutional mortgagees, guarantors and insurers of first mortgage loans, the Federal National Mortgage Association, the Federal Home Loan Mortgage Corporation, the Federal Housing Administration, the Veterans Administration, and similar institutions;

14.3.1.1. To meet the requirements of insurance underwriters;

14.3.1.2. To bring the Declaration into compliance with the laws of the United States, the State of Ohio or any political subdivision thereof; or

14.3.1.3. To correct clerical or typographical errors or obvious factual errors in the Declaration, Supplemental or an exhibit to the Declaration.

Note — Original numbering note: the recorded Declaration uses the heading "14.3" a second time here for "Termination." Both 14.3 sections are preserved exactly as recorded.

14.3. Termination

This Declaration and the regime created thereby may be terminated only in accordance with this Section.

14.3.1. Consent Required. This Declaration may be terminated only upon consent of Eighty (80%) Percent of the Owners, and if during the Declarant Control Period, upon consent of the Declarant and upon the prior approval of the City of North Royalton upon a change in the current residential zoning.

14.3.2. Agreement to Terminate. No termination shall be effective unless an agreement to terminate is filed for record with the Cuyahoga County Recorder. This agreement shall be executed in the same manner as a deed by the requisite number of Owners. The agreement shall provide for disposition of the Common Elements, disposition of Association funds and other resolutions and provisions necessary to terminate the regime and wind up the affairs of the Association. Such agreement need not be signed by the Owners and the City of North Royalton.

Article XV — Miscellaneous

15.1. No Reverter

No covenant, condition, restriction or reservation of easement contained in this Declaration is intended to create, or shall be construed as creating, a condition subsequent or a possibility of reverter.

15.2. Notices

Any notice required or permitted to be given to an Owner or resident by the Board pursuant to the provisions of this Declaration shall be deemed given when mailed by United States mail, postage prepaid, addressed to such person's last address as it appears on the records of the Association.

15.3. Construction

The Board shall have the right to construe the provisions of this Declaration, and, in the absence of an adjudication by a court of competent jurisdiction to the contrary, such construction shall be final and binding as to all persons and entities benefited or bound by the provisions of this Declaration.

15.4. Invalidity

The determination by a court of competent jurisdiction that any provision of this Declaration is invalid for any reason shall not affect the validity of any other provision hereof.

15.5. Headings

The headings of the Articles and Sections are for conveyance only and shall not affect the meaning or construction of the contents of this Declaration.

15.6. Gender

Throughout this Declaration, the masculine gender shall be deemed to include the feminine and neuter, and the singular, the plural and vice versa.

15.7. Conflict

In the event of a conflict between the Restrictions or any one or more of them and the restrictions of any Declaration which may be recorded subsequent to this Declaration, the more restrictive restriction, covenant, condition, easement or other obligation shall control.

Execution

IN WITNESS WHEREOF, York/Royalton, LLC, has caused this Declaration to be signed by Doug Loehr, Member, this 14th day of April, 2008.

York/Royalton, LLC (by Doug Loehr, Member). Acknowledged before a Notary Public, State of Ohio, this 14th day of April, 2008.

Exhibit A — Legal Description (Property)

Situated in the City of North Royalton, County of Cuyahoga, State of Ohio and being part of Original Royalton Township Lot No. 9 and known as being Lots 1 through 36 and Open Space No. 1, Open Space No. 2, Open Space No. 3, Open Space No. 4, and Open Space No. 5 of Phase 1 in Villas of Worthington as recorded in Plat No. 352, Pg. 00 of the Cuyahoga County records.

Exhibit B — Legal Description (Additional Land)

Situated in the City of North Royalton, County of Cuyahoga, State of Ohio and being part of Original Royalton Township Lot No. 9 and known as being Block A of Phase 1 in Villas of Worthington as recorded in Plat No. 352, Pg. 00 of the Cuyahoga County records.